

the company's survival and maintain employee morale. This could be seen as a positive signal that the founder is willing to go the extra mile to keep the company afloat," says Ashish Aggarwal, Director of VC firm ACube Ventures.

Soon after settling the salary dues, Raveendran gathered senior executives for a conference call, assuring them that the proposed sale of US-based subsidiary Epic would help the company address the current liquidity crunch.

"My regret is that I am letting down a wonderful team by not providing adequate capital," he said.

ensnared in the consequences of its high-risk gamble.

Subsequently, Epic and higher education platform Great Learning have been put on sale. The company is in advanced talks to sell Epic for about \$400 million to private equity fund Joffre Capital Ltd. Meanwhile, the family office of Manipal Education and Medical Group's Chairman Ranjan Pai acquired US investment firm Davidson Kempner Capital Management's debt exposure in Byju's-owned Aakash Educational Services for ₹1,400 crore in November, providing the company substantial relief.

to address criticism and stage a comeback. The embattled edtech major reported 2.3x year-on-year growth in revenues in FY22 for its core business, encompassing K12 learning programmes. While revenues surged to ₹3,569 crore in FY22 from ₹1,552 crore in FY21, operating losses narrowed to ₹2,253 crore in FY22, from ₹2,406 crore in FY21. However, the company did not release the numbers for its subsidiaries. With a portfolio of over 30 entities, Byju's is expected to soon submit comprehensive standalone and consolidated reports of FY22, which received shareholder

UNENDING WOES

- 1** The \$1.2-billion Term Loan B Byju's borrowed from lenders abroad was primarily used to fund acquisitions
- 2** At the peak of its acquisition spree in 2020-21, the edtech major spent about \$3 billion across 13 deals
- 3** It is hoping that the sales of subsidiaries Epic and Great Learning will go a long way towards resolving this
- 4** It is expected to release the consolidated and standalone results of all entities after they were approved at its AGM

The math tutor-turned-entrepreneur highlighted the ongoing litigation surrounding the \$1.2-billion Term Loan B (TLB) as a significant issue, which he said originated from a delayed audit and demand for a full refund from lenders.

The TLB, availed at the peak of its growth in 2021 to support an aggressive acquisition spree, lies at the core of the current crisis. Byju's spent close to \$3 billion across 13 deals in 2020-21, and the TLB was raised primarily to bankroll these acquisitions. As growth slowed post-pandemic and equity became scarce, the company found itself

The distressed debt specialist had issued Aakash a legal notice asserting its claim to shares pledged as collateral for the loan.

At Byju's annual general meeting (AGM) on December 20, shareholders approved the audited financials for FY22. The prolonged delay in finalising the audited financials has been at the heart of the contention among stakeholders, lenders, and potential investors.

In early November, Byju's announced the closure of its audited financial accounts for FY22, delayed for over a year, marking a crucial milestone in its efforts

approval at the December 20 AGM.

Meanwhile, the Board of Control for Cricket in India (BCCI) has approached the National Company Law Tribunal (NCLT) to initiate insolvency proceedings against the company for its failure to pay ₹158 crore as per the contract for the sponsorship of the Indian cricket team's jerseys. And, the Enforcement Directorate recently sent it a show-cause notice for allegedly flouting anti-money laundering norms.

For a company of its magnitude, the founder's decision to pledge his homes raises questions about how